C237 Pre-Assessment Quick Reference

C237 Pre-Assessment Quick Reference — Read Right Before the Test

Based on your passed PA (Aug 21, 2026) + Elin course material

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PART 1: MISSED QUESTIONS — Why the Right Answer Is Right

12 misses on your PA (Q12, 15, 18, 24, 26, 35, 45, 47, 49, 50, 52, 58). Q17 was CORRECT — you picked renting the condo.

Q12 — Tax planning vs research

- **You picked:** Tax research
- **Correct: Tax planning**
- **Why:** Tax **planning** is the proactive work of **minimizing taxes and maximizing after-tax cash flow** while still meeting the client's other goals. Tax **research** is finding authority to answer a specific legal question after facts are known—not the overall "minimize taxes" strategy role.

Q15 — Married couple tax liability

- **You picked:** $15,562
- **Correct: $15,914**

- **Why:** Walk the **4-step formula** every time: (1) MFJ filing status, (2) income = wages + taxable interest only (exclude municipal bond interest), (3) deduction = **greater of** itemized ($23,590) vs standard MFJ ($29,200) → use **standard**, (4) apply **MFJ tax chart** to taxable income. A small math or exclusion error changes the final bracket amount—recalculate on whiteboard.

Q18 — Constructive receipt (include in current-year gross income)

- **You picked:** Employer held year-end paycheck in a drawer; taxpayer didn't deposit until January
- **Correct: Dec 28 car sale—buyer gave a check and asked taxpayer to wait two weeks to deposit**
- **Why: Constructive receipt** = income is taxable when it is **made available to you**, even if you choose not to deposit it yet. A **check in hand** on Dec 28 = include in that year. The paycheck still controlled by the **employer** in a drawer (you didn't have unrestricted access) is **not** constructive receipt—the car-sale check is.

Q24 — Qualified Tuition Plan (529) tax-free uses (pick 2)

- **You picked:** Rent + student health insurance (wrong)
- **Correct: Textbooks** (+ tuition/fees/supplies/equipment for eligible education—textbooks is the clear one on this question)
- **Why:** QTP/529 money is tax-free for **qualified education expenses**—tuition, **books**, supplies, equipment at eligible institutions. **Room/board** and **health insurance** are generally **not** qualified—don't pick them on the test.

Q26 — Stock that went up in value (not sold)

- **You picked:** Realized and recognized gain
- **Correct: Unrealized gain**
- **Why:** If you still **own** the stock and only the **market value** rose, nothing is taxable yet. **Unrealized** = on paper only. **Realized** = you sold and have cash; **recognized** = you report it on the return.

Q35 — Mortgage interest reducing AGI

- **You picked:** Rental home
- **Correct (per this PA): Personal residence**

- **Why for the test:** Read **“reduction for adjusted gross income”** carefully—this PA keys **personal residence**. **Remember for class:** Rental mortgage interest is usually **Schedule E / FOR** (before AGI); personal home mortgage is normally **itemized (FROM)**. Match the wording on the question.

Q45 — Cost-per-mile as itemized deduction (all taxpayers)

- **You picked:** Travel for medical purposes
- **Correct: Travel for moving required by employment** (military orders)
- **Why:** The only **moving expense** itemized deduction left for most people is **active-duty military** moving pursuant to orders. Medical mileage is part of **medical itemized** (with the 7.5% floor)—not the “moving mileage for all taxpayers” answer.

Q47 — Tax that qualifies as itemized deduction

- **You picked: Gambling income tax**
- **Correct: State income tax**
- **Why:** Itemized taxes are **state and local income tax** OR **sales tax** (choose one), plus property tax—subject to SALT cap. **FICA, unemployment, and gambling taxes** are not itemized deductions. Gambling **losses** (not the tax on winnings) can be miscellaneous itemized to the extent of winnings.

Q49 — Deductible charitable contribution

- **You picked:** Donations to a movie theater for renovations
- **Correct: Contributions to a local church**
- **Why:** Charity must be a **qualified 501(c)(3)** organization **registered with the IRS**. Churches qualify. Random businesses, neighbors, or theaters renovating are **not** deductible unless they’re a registered charity. **Time volunteering** is never deductible—only **money or property** donated.

Q50 — Appreciated stock donated to public charity

- **You picked:** FMV **less long-term capital gain**, limited to **20%** of AGI
- **Correct: Fair market value of the property, limited to 30% of AGI** (no reduction for built-in gain)

- **Why:** Donating **appreciated capital gain property** (stock) to a **public charity** → deduction is **full FMV**, limited to **30% of AGI** (carryforward excess). Memorize: **Cash 60% / Capital gain property 30% / Ordinary property 50%** of AGI.

Q52 — Maximum capital loss deduction on personal return

- **You picked:** $3,200
- **Correct: $3,000**
- **Why:** On an **individual** return, net capital losses can only offset ordinary income by **$3,000 per year** max. Extra losses **carry forward**. Your sale math can show a $3,200 loss, but the **deduction against ordinary income** caps at **$3,000**.

Q58 — Tax credit that applies to individuals

- **You picked:** Child tax credit
- **Correct: Individual recovery credit** (as keyed on this PA)
- **Why:** Read every option—this question's keyed answer is **Individual recovery credit**. **Child tax credit** absolutely applies to individuals too (Elin emphasizes it heavily), but match the **exact wording** on objective assessments.

PART 2: QUICK REMINDERS — Other High-Value PA Topics (1–2 sentences each)

Federal taxation / scope

- **1913** = 16th Amendment; individual income tax permanently established.
- **Second-highest legislative authority** = **Internal Revenue Code** (Constitution is above everything).
- **IRS transaction guidance** in practice = **Revenue rulings** (not TAM—that's for auditors).
- **Equity example** = different tax based on **income level** (vertical equity).
- **Horizontal equity** = similar situations → **same tax**.
- **Progressive** = rate **increases** as income increases.
- **FICA/Social Security** = **regressive** (rate drops/caps at higher income).

- **Flow-through entities** = **LLP** (also partnership, S corp, LLC)—**not C corp**.
- **Statute 6 years** = underreport income by **more than 25%** of gross income.
- **Property tax** = based on **real estate value**.

Tax formula (do this on every calculation question)

- **Filing status** → **Income** (everything except gifts, inheritance, municipal bond interest, child support, etc.) → **One deduction** (standard vs itemized—take **bigger**) → **Tax chart** for that status.
- **Illegal income** and **gambling winnings** ARE included.
- **Realization** = payment received for stock **sold**.
- **Constructive receipt** = you **could** take the money (check in hand Dec 28)—must include even if you wait to deposit.
- **Gross income includes:** royalties, **rental** income, cash dividends.
- **Excluded:** gifts, inheritance, life insurance proceeds (most cases), child support, Roth qualified distributions, municipal bond interest.
- **Tax evasion** = **willful** failure to pay; **avoidance** = legal planning.

Gains & losses

- **Unrealized** = value up, still own it—**no tax**.
- **Realized losses** > **recognized losses** on personal-use items (car/house)—can't deduct personal-use losses.
- **Basis** = purchase price + transaction costs + delivery/setup (**not** future rental income).
- **Not capital assets (business):** inventory, supplies, business-use real property.
- **Capital asset:** personal residence, stock held for investment.
- **Long-term** = held **more than 1 year**; net LT gain/loss by netting lots.
- **Gift basis/holding period** = **donor's** basis and holding period starts when **donor** acquired it.

Filing status & credits

- **HOH** = largest standard deduction for divorced parent with dependent (vs single).
- **Widow with dependent mother** → **HOH** (not qualifying widow—needs **child**).
- **Divorced July, kid in custody, not married Dec 31** → **HOH** (not MFJ).

- **Child Tax Credit** = child must be under **17** at end of year (max age **16** for credit question wording).
- **Refundable credit** example = **Earned Income Credit**.
- **Self-employment tax** on $24,000 net earnings ≈ **$3,672** (15.3% on net SE income after SE tax calculation rules).
- **MACRS computer year 1** = $10,000 × **20%** = **$2,000** (5-year, half-year convention).
- **Commercial property year 2** = depreciate **building only** (subtract land); use nonresidential straight-line chart.

Deductions (FOR vs FROM)

- **FOR (before AGI):** business/rental expenses, half SE tax, most **self-employed** costs.
- **FROM:** standard or **itemized** only.
- **Deductible business expense:** roof **repair** (not new HVAC/capital improvement).
- **12-month insurance policy** = expense; new equipment/building additions = capitalize/depreciate.
- **Cash method:** deduct when **paid** ($2,000 down in year 1).
- **Accrual method:** income when **earned** ($15,000 all in year 1 when job completed).
- **Single pilot, $11,500 itemized** → still take **standard** ($14,600 in 2024—bigger).

Itemized specifics

- **Medical floor** = **7.5% of AGI** (not 5% or 10.5%).
- **Itemized taxes** = **state income tax** (or sales tax—not both).
- **Itemized mortgage interest** = **home** mortgage (not vacation loan for boat/TV).
- **Miscellaneous itemized left** = **gambling losses** to extent of winnings.
- **Tax prep fees** = **NOT** deductible (post-2018).
- **Charity math example:** $500 charity + state tax $600 + medical above floor—**no** tax prep or publications.

Tax research

- **Highest court** = **U.S. Supreme Court**.
- **Judicial source** = **court decisions**.
- **Legislative source** = **Internal Revenue Code**.

- **Treasury regulations** = highest weight among **administrative** sources.

PART 3: THE 6 ITEMIZED DEDUCTION CATEGORIES ★ MEMORIZE

Write these on your whiteboard before you start:

1. **Medical and dental** — only amount **above 7.5% of AGI** (the floor).
2. **Charity** — must be **qualified 501(c)(3)** organization (cash, property—not your time).
3. **Mortgage interest** — **first and second home** (not credit cards or car loans).
4. **Property (real estate) tax** — on homes; part of SALT cap.
5. **Sales tax** — **OR** choose this instead of income tax (not both).
6. **State/local income tax** — **OR** sales tax (pick one).

Mnemonic: My Cat Made Property Sales Income

Also remember: You only itemize if the **total beats your standard deduction** (MFJ ~$29,200, Single ~$14,600, HOH ~$21,900 for 2024—chart given on exam).

Bonus miscellaneous (if itemizing): Gambling losses **only** to offset gambling winnings (down to zero).

Print this page. Review Part 1 (misses) + Part 3 (six categories) in the last 10 minutes before the OA.